

Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

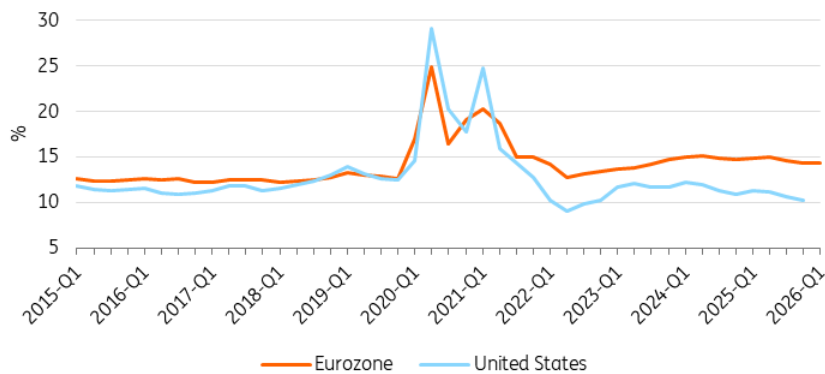
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

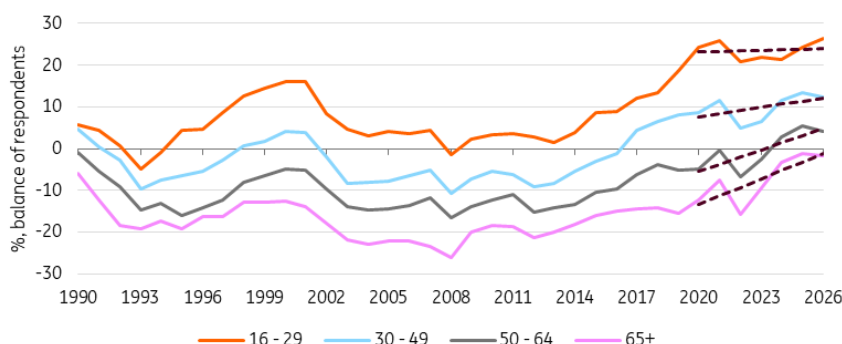
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

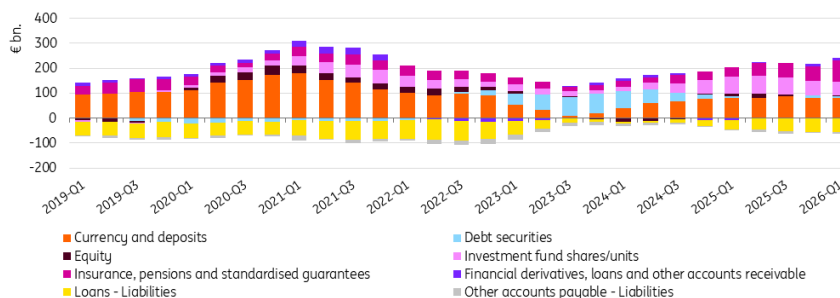
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

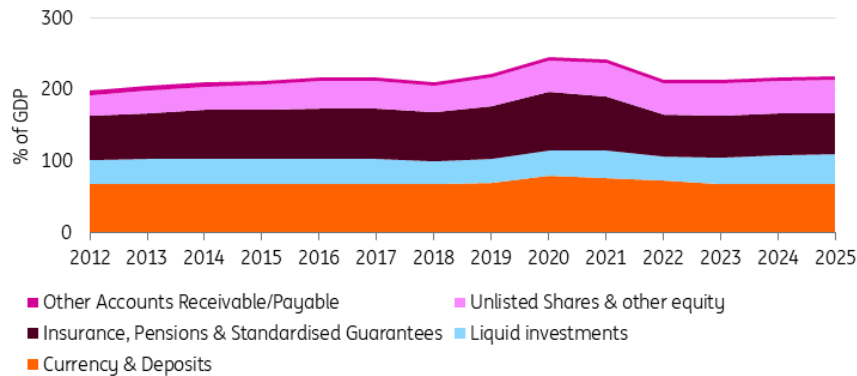
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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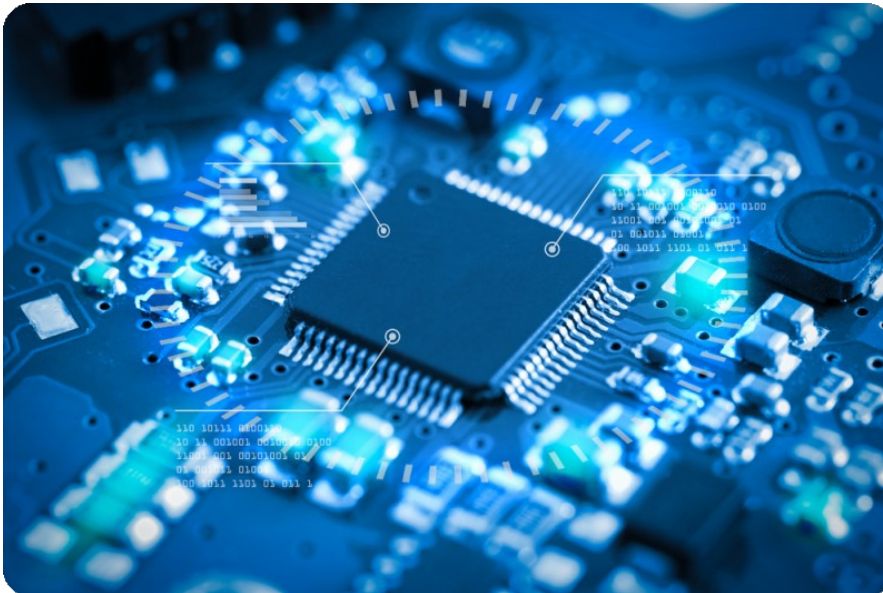
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Article | 7 July 2026

TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

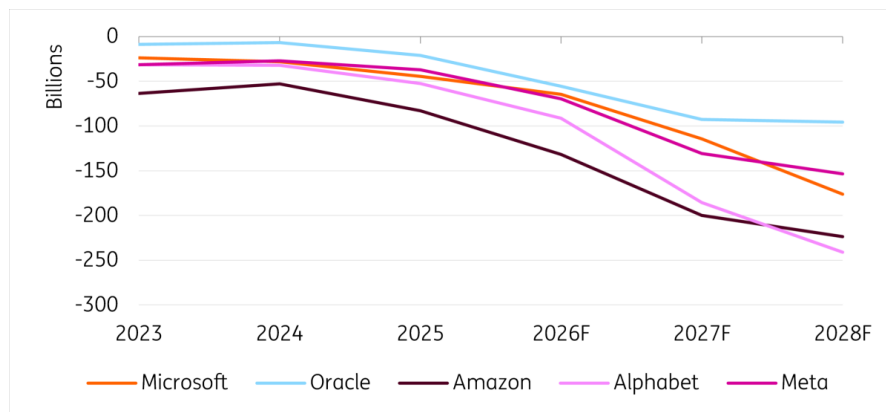
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

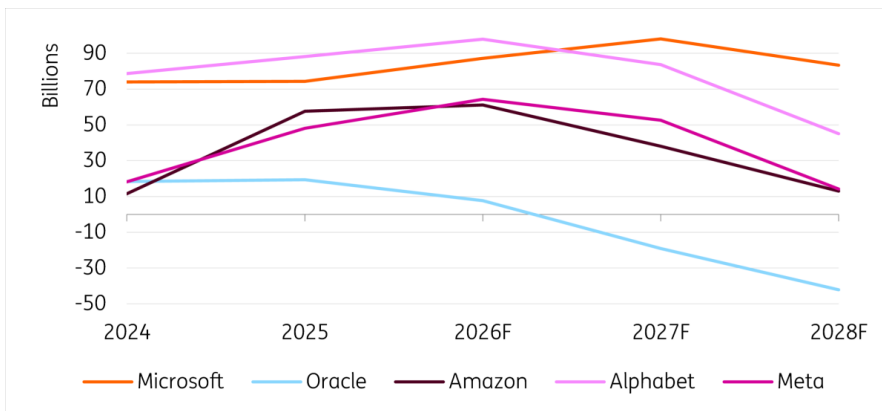
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

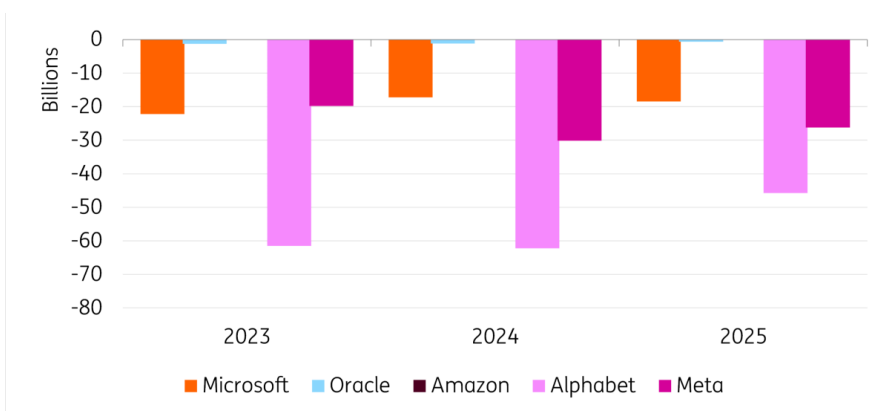
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 7 July 2026

FX

Treasury FX report preview: Manipulation thresholds not breached despite USD decline

The summer edition of the US Treasury's FX report (covering 2025) looks unlikely to label any country a currency manipulator, as no trading partner breached all three criteria despite USD depreciation, according to our estimates. Still, the Swiss National Bank may be turning more cautious on intervention to stay within the Treasury's thresholds



We do not expect the summer edition of the US Treasury's FX report to label any country as a currency manipulator

The US Treasury should publish the summer edition of its semi-annual Report on Foreign Exchange Policies of Major Trading Partners (the "FX Report") soon. The report is prepared under two legislations:

- The 1988 law requiring the Treasury to identify foreign exchange manipulators
- The 2015 law introducing three quantitative criteria (chart below) – thresholds have been revised over time – for evaluating trade and FX practices.

FX report criteria thresholds

Criteria	Threshold (4Q rolling)
Significant bilateral trade surplus with the US	>15\$bn goods and services surplus
Material current account surplus	>3% of GDP
Persistent, one-sided intervention	Net FX purchases for at least 8 of 12 months' worth >2% of GDP

Source: US Treasury, ING

No manipulator labels, unchanged monitoring list

The summer edition covers January-December 2025, with the Treasury set to assess the three quantitative criteria, which we attempt to replicate in the table below.

Our baseline assumption is that a country is labelled an FX manipulator if all three criteria are met. As no country appears to have breached all three thresholds, we expect no manipulator designations this summer.

The report also updates the Monitoring List for enhanced scrutiny, including countries meeting two criteria or contributing disproportionately to the US trade deficit. Removal typically requires missing two criteria for two consecutive reports. The January 2026 list included China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland and Switzerland, and we expect it to remain unchanged.

ING's estimates for the FX report's criteria

	Goods and services surplus with US (\$bn)	Current account balance (% of GDP, trailing 4Q)	Net FX purchases (% of GDP, trailing 4Q)	Net FX purchases (8 of 12 Months)
Mexico	203	-0.6	0.0	No
China*	202	3.7	-0.5	No
Vietnam**	178	6.4	-0.2	No
Taiwan	146	19.4	0.8	No
Ireland	114	8.2	-	-
Germany	73	4.5	-	-
Japan	64	4.9	0.0	No
India	58	-0.5	-1.3	No
Korea	57	6.7	-1.5	No
Canada	55	-1.0	0.0	No
Switzerland	32	6.4	0.6	Yes
Italy	32	1.1	-	-
Malaysia**	31	1.6	1.0	No
Thailand**	22	2.8	0.7	Yes
France	19	-0.3	-	-
Singapore	-4	16.7	3.1	Yes
Australia	-5	-2.7	0.0	No
Brazil	-14	-2.9	-0.2	No
UK	-32	-3.1	0.0	No

Figures in red are above the criteria's thresholds. Estimates are based on disclosed interventions when available or through the valuation-adjusted change in FX reserves, attempting to replicate the US Treasury's methodology.

*China's FX interventions estimated via monthly changes in the PBOC's foreign exchange assets ** Malaysia, Thailand and Vietnam convey intervention numbers privately to the Treasury, making it harder to estimate via FX reserves, we present ballpark estimates here. Source: ING estimates, Macrobond, IMF, Central bank disclosures

Context matters

The fundamental aim of the FX Report is to flag practices that artificially prevent appreciation of trading partners' domestic currencies, potentially granting a competitive trade advantage. This edition is notable as it cleanly captures 2025, a period of sharp USD depreciation, unlike the previous report, which mixed in late-2024 dollar strength.

A number of central banks stepped in with FX intervention to fight home currency appreciation in the Spring/Summer of 2025. This resulted in a slew of bilateral statements between the Treasury and other monetary authorities (Japan, Switzerland, Korea, Malaysia, Thailand, Taiwan), [which we discussed them in our previous edition's preview](#).

These agreements suggest, in our view, that the Treasury is not looking to designate manipulators at this stage. The dollar's rebound in 1H26 supports this, as intervention metrics should mechanically fall in the next report.

Switzerland keeping an eye on its metrics

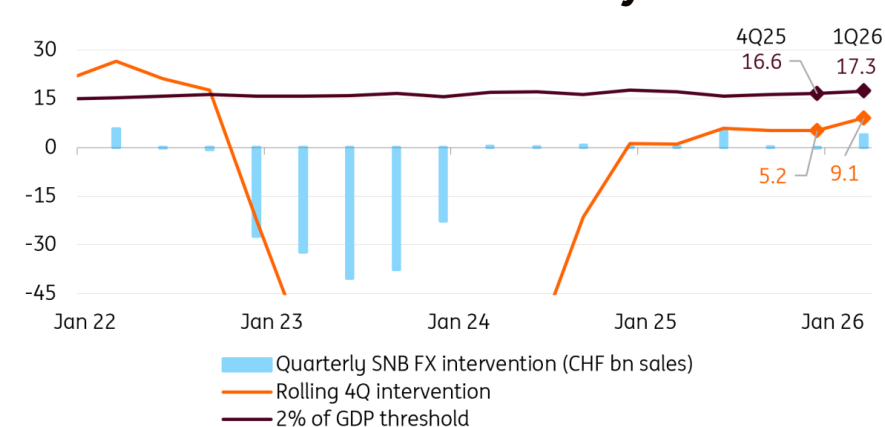
Taiwan, Switzerland and Thailand meet the trade surplus and current account criteria and, in our estimates, posted positive FX intervention in 2025, but remained below the 2% of GDP

threshold. Switzerland stands out, as CHF appreciation pressures re-emerged at the start of 2026.

The Swiss National Bank explicitly uses FX intervention as a policy tool. After heavy FX selling in 2023, it returned to purchases in 2025 to counter CHF strength. This drew scrutiny from the US Treasury, with a September 2025 joint statement clarifying that intervention is legitimate when aimed at curbing excessive volatility or disorderly moves and safeguarding price stability, rather than gaining a trade advantage.

However, it remains unclear whether this shields Switzerland from FX Report scrutiny if intervention exceeds the 2% threshold, leaving some uncertainty for the SNB. Official data show intervention at CHF 5.2bn (0.5% of GDP) in 2025 and CHF 9.1bn (0.8% of GDP) over the four quarters to 1Q26, versus a rolling 4Q threshold just above CHF 17bn.

SNB FX intervention and Treasury's threshold



Source: SNB, ING

All this could make the SNB more cautious on intervention, as markets may assume policymakers want to avoid breaching the threshold and potentially reigniting trade tensions with the US. This might fuel bullish CHF speculative bets if intervention is seen as constrained.

It helps explain why we do not expect significant CHF weakness over the next year. The SNB may only step in aggressively if EUR/CHF trades aggressively sub-0.90.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 13 July 2026

REAL ESTATE THE NETHERLANDS

Recovery in Dutch commercial real estate is less robust than it appears

The Dutch commercial real estate market got off to a strong start in 2026, with first-quarter investment volumes more than 60% higher than a year earlier, but rising costs, execution bottlenecks and geopolitical uncertainty will weigh on both new developments and transaction activity



Dutch real estate is recovering, but underlying momentum remains fragile

Strong first quarter

The commercial real estate market recorded a strong start to the year, with investment volume in the first quarter more than 60% higher than a year earlier. The reduction in transfer tax for residential real estate as of 2026 (from 10.4% to 8%) appears to have provided a temporary boost, as investors postponed residential real estate transactions to the new year.

Growth will slow in the second half of 2026

This pace of growth is unlikely to continue for the rest of the year. Heightened geopolitical uncertainty since the start of the Iran war is making investors more cautious. Rising costs for construction, renovation and sustainability improvements are also making new-build projects

less financially viable and increasing costs for existing assets. As a result, investor appetite for older properties is weakening, as these assets typically require substantial renovation and sustainability investments.

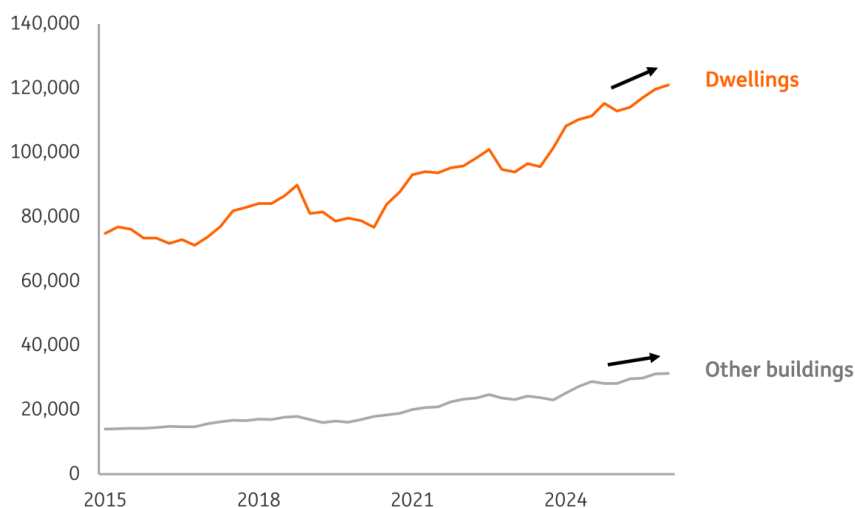
All in all, the recovery in the real estate market is less robust than it appears. Rising costs and execution challenges are increasingly weighing on real estate investment, while the temporary boost from the lower transfer tax has now faded.

Transitions require investment in existing assets

Rising construction and renovation costs contrast with the scale of investment needed to future-proof existing buildings. The energy transition and expectations of stricter climate policy are prompting investors to take long-term sustainability more explicitly into account in their acquisition and disposal decisions. Older office buildings lacking a viable business case for sustainability improvements are becoming less attractive, as are logistics properties without sufficient charging capacity.

More permitted new-build projects without construction starting

Permit pipeline* in number of dwelling units



* Total number of dwelling units for which only the permit is recorded in the Key Register of Addresses and Buildings and construction has not yet been observed at the end of the reporting period.
Source: Statistics Netherlands

Execution constraints intensify

Execution constraints are becoming more prominent in new-build projects, including grid congestion and nitrogen restrictions. These issues delay delivery and increase the number of

permitted homes awaiting the start of construction. Such bottlenecks are expected to constrain residential, office and logistics development more frequently in the coming years.

Moderately positive economic outlook

These headwinds are offset by a [moderately positive](#) economic outlook. The Dutch economy is growing modestly, supported by wage growth and government spending. It is also [more resilient](#) to new energy price shocks than a few years ago. In addition, capital market interest rates are expected to remain [relatively stable](#), helping to stabilise financing costs and support investor demand.

Domestically driven demand

Real estate demand is primarily driven by domestic investors, as foreign investors have largely exited the market in recent years. This retreat is partly explained by tax changes, including the stepwise increase in transfer tax from 2% in 2020 to 10.4% in 2025 (reduced to 8% in 2026, but only for residential property). In the residential segment, rent regulation introduced in 2024 has also weighed on investor interest.

Trends by segment

The commercial real estate market is developing differently across segments. Below, we highlight one of the most notable trends for residential real estate, offices, retail real estate and logistics real estate.

- **Residential real estate:** growth potential for investment in (affordable) rental housing is limited, as financial viability remains weak. This is confirmed by the Investment Climate Monitor^[1], used by the Dutch government to monitor the investment climate for mid-segment rental housing.

In addition, real estate transactions are still dominated by investors that intend to sell off older, existing rental properties on the owner-occupied market once the current tenant moves out. This is often more attractive than continuing to rent out these homes, due to the combination of higher interest rates, fiscal changes, rental regulation and increased prices of owner-occupied homes.

- **Offices:** institutional investors are increasingly focusing on societal impact, driven by their expectations of stricter climate policy and their own ESG policies. As a result, their interest in outdated buildings without a financially viable sustainability pathway is declining further.
- **Retail real estate:** the structural shift towards online shopping continues, potentially accelerated by the rise of agentic commerce. As a result, investor demand remains

concentrated in prime retail locations, where vacancy risks are relatively limited. Overall, the retail real estate stock continues to decline.

- **Logistics real estate:** Investors are becoming more cautious in making acquisitions. Vacancy rates outside traditional hotspots have risen, highlighting the importance of prime locations. At the same time, geopolitical tensions are increasing uncertainty around international trade, directly affecting demand for logistics real estate.

Despite this, the Dutch logistics real estate market remains attractive, supported by its strategic location and role as a transit hub. Larger, well-located assets with sufficient (scope for) charging infrastructure are however expected to perform better. Scale is becoming increasingly important for efficient operations, while the energy transition is pushing logistics players towards electrification. Given thin margins, these factors are gaining importance in investment and location decisions.

[1] The monitor was developed and launched by Professor Dirk Brounen (Maastricht University) and Professor Arno van der Vlist (University of Groningen / Amsterdam School of Real Estate) this year to systematically track the investment climate in the mid-rental housing segment. Accelerating the supply of affordable housing, including social housing and mid-rental homes, is currently a key policy priority in the Netherlands.

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THINK economic and financial analysis

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Article | 13 July 2026

FX

FX Daily: Energy and carry dominate near term

The deteriorating situation in the Gulf and the rise in energy prices are supporting the dollar against the low-yielders, including the euro. Worryingly for Europe, natural gas prices are creeping higher again at a time of low inventories. In the absence of direction from the Fed, higher energy prices will keep tightening fears alive and the dollar in demand



Higher energy prices will keep Fed tightening fears alive and the dollar in demand

↑ **USD: Higher energy keeps Fed tightening alive**

Lower FX volatility and the simmering conflict in the Gulf are the two dominant themes driving FX markets right now. The former drives strong demand for high-yielding FX, and the latter drives demand for oil-exporting FX. The Colombian peso ticks both of those boxes and is performing well at the moment. But niche emerging market plays do have their pitfalls, as those holding the Kazakh tenge have [found out over the weekend](#).

In the G10 space, the dollar is holding up well, and the macro story should keep it supported. US energy independence will come back to the fore if Iran is effective in re-closing the Strait of Hormuz. And this time around, US rates should rise along with overseas rates given that prospects of Fed tightening are now live. On that subject, we get some important Fed data

and speakers this week. Tomorrow sees the June CPI, where headline inflation is set to drop month-on-month. But with energy prices rising again and core inflation probably rising at 2.8/2.9% year-on-year, it looks too early for the market to price out a Fed rate hike this year.

Tomorrow also sees new Fed Chair Kevin Warsh start his two-day testimony to Congress. No doubt he'll make great efforts to share as few insights as possible, but there will be plenty more input into the Fed equation this week, including producer and import prices, retail sales and, on Wednesday, the release of the Fed's Beige Book ahead of the FOMC meeting on 29 July.

With energy prices turning bid again and no signs of an imminent slowdown in US activity to take the sting out of higher prices (keeping Fed tightening prospects alive), the dollar should hold onto its gains. Expect it to be favoured against low-yielding energy importers such as the euro and the yen. And in a world of higher interest rates, the Swiss franc lags. USD/CHF can retest last month's high at 0.8140, while DXY can grind to 101.50.

Chris Turner

↓ **EUR: Natural gas story is worrying**

The pick-up in energy prices has put a lid on last week's corrective rally in EUR/USD. We also note that natural gas prices are on the rise, and our Head of Commodities Strategy, Warren Patterson, [warns that European gas inventories are low](#) at a time of a local heatwave. EUR/USD can easily drift down to the 1.1360 area and could test the 1.1300/25 area this month – even though we suspect that could prove the trading range low this summer.

It is not a big week for European data and short-dated euro swap rates look more likely to be dragged around by energy prices than ECB-speak. Of interest, ECB President Christine Lagarde meets Kevin Warsh in Washington today, although it seems highly unlikely that any insights from the meeting will be shared.

Chris Turner

↓ **JPY: Intervention prospects this week**

USD/JPY is grinding higher again – as is USD/Asia in general – on the back of higher energy prices. Local authorities continue to try and defend against currency weakness – weakness which would add to the inflation problem. USD/JPY is back above 162 again and looks biased to retest recent highs near 162.70/85.

In terms of a Japanese intervention strategy, the timing of the FX intervention seen in late April/early May this year was a carbon copy of 2024. And back in 2024, with USD/JPY still bid, Japanese authorities intervened again in July ahead of the Marine Day public holiday. That same playbook would point to potential intervention this Thursday/Friday ahead of the public

holiday next Monday.

Of course, intervention alone cannot reverse the current bull trend. For that to happen, energy prices need to come lower and the Fed must conclude that it does not need to hike rates after all. Both of those seem unlikely in the near term.

Chris Turner

📌 **CEE: Dovish NBP to weigh on zloty as koruna and forint stay supported**

Moving into the second half of the month, the CEE news flow turns to secondary data this week. The Polish June CPI should be confirmed at 2.5% on Wednesday, helped by unexpectedly low food prices and normalising fuel costs, while Thursday's core print is likely to stay unchanged at 3.1%. Headline inflation may edge higher in July after lower excise duty and VAT on fuels expired and gasoline prices rose again. Even so, the medium-term inflation outlook remains favourable, which should allow the central bank to keep rates on hold in the coming months. Hungary wages on Thursday and Czech PPI on Friday may further refine the monetary policy picture.

Thursday's National Bank of Poland press conference struck a clearly dovish tone, which should weigh on the zloty for a bit longer. The market is pricing almost a full rate cut further out, with more than a 50% probability assigned to the September meeting. Rates are still searching for a new equilibrium, but the rate differential in our models points closer to 4.340 in EUR/PLN, with upside risk.

Despite the sharp weakening in recent days, we remain bearish on PLN this week and beyond. Weekend headlines from the Middle East point to a risk-off opening today, which should add pressure across the region. We remain bullish on the koruna, backed by a hawkish Czech National Bank, and on the forint, which is recovering from the global sell-off amid a still solid domestic backdrop – but near-term weakness across CEE FX looks likely.

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Article | 13 July 2026

COMMODITIES DAILY

The Commodities Feed: The battle over Hormuz lifts oil prices

Further escalation in the Persian Gulf has oil prices moving higher amid renewed concerns over flows through the Strait of Hormuz



Energy – Speculators remain wary about jumping into oil market

Oil prices are getting an additional boost this morning, with ICE Brent up around 4% at the time of writing amid increasing tensions in the Persian Gulf. It was another weekend of the US and Iran exchanging strikes. Clearly, the risk is that this escalates to levels seen early in the war, where neighbouring countries and their energy infrastructure are also targeted. Iran claims that the Strait of Hormuz is shut until further notice. The US pushed back, saying that it will ensure freedom of navigation. Escalation has slowed vessels transiting the strait to a trickle, renewing concerns over oil supply tightness through the third quarter.

Despite the renewed hostilities between the US and Iran, the latest positioning data shows that speculators are still reluctant to jump into the oil market. Speculators reduced their net long in ICE Brent by 547 lots over the last reporting week to 55,087 lots as of last Tuesday. The uncertainty over the recent flare-up in tensions -- whether it will be short-lived or more sustained -- seems to be keeping a large share of market participants on the sidelines.

However, speculators have been more bullish on the middle distillate market amid continued Ukrainian strikes on Russian refinery infrastructure. This has led to a fall in diesel exports and

to the Russian government temporarily banning them. The export ban will only add to concerns about an already tight middle distillate market, given developments in the Middle East this year. Speculators increased their net long in ICE gasoil by 11,634 lots to 69,486 lots as of last Tuesday, the largest position since late March.

On Friday, the IEA's latest monthly oil market report showed the agency expects oil demand to gradually recover over the course of the year. The IEA forecasts demand in 2Q26 was down 4.8m b/d year-on-year. It's expected to ease to a 1.7m b/d YoY reduction in 3Q26, before returning to 1.2m b/d YoY growth in the final quarter of the year. Much will depend on how rising tensions between the US and Iran play out. The agency estimates that global oil supply increased by 4.1m b/d in June. As a result, global oil inventories are estimated to have risen by 21m barrels in June, which would be the first increase in four months.

The European gas market continues to look increasingly vulnerable to supply disruptions from the Persian Gulf. Reports last week that QatarEnergy will cease plans to increase LNG output following an attack on one of its LNG tankers will only add to supply concerns. EU gas storage is currently less than 52% full, compared with a 5-year average of 67%. Continued supply tightness has coincided with heatwaves across Europe, increasing gas demand for power generation.

Agriculture – USDA lowers global grain ending stock estimates

In its latest WASDE monthly report, the USDA slightly revised up its US corn production estimate by 5m bushels to 16bn bushels. However, this increase in supply was offset by lower beginning stocks and higher export estimates. As a result, US corn ending stock estimates were revised down by 170m bushels to 1,790m bushels. This is lower than the market was expecting. Globally, the corn balance sheet tightened slightly, with 2026/27 ending stocks estimates reduced from 281.2mt to 275.3mt. This was largely driven by EU corn production estimates for the season being lowered to 53.78mt, down from 57.5mt previously.

The USDA maintained its 2026/27 domestic soybean ending stocks estimate at 310m bushels, with higher production fully offset by stronger export demand. At the global level, 2026/27 soybean ending stock estimates were trimmed marginally from 124.9mt to 124.2mt.

For wheat, the USDA reduced its 2026/27 US output estimates by 7m bushels to 1,536m bushels, reflecting lower acreage and marking the smallest crop since 1970/71. Despite the reduction, the output number is still above the roughly 1,527m bushels the market was expecting. US ending stocks were lowered by 22m bushels to 722m bushels. Globally, 2026/27 wheat ending stocks were revised down from 275.4mt to 272.8mt, slightly below the 273.2mt the market was expecting.

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COMMODITIES, FOOD & AGRI

Easing aluminium supply risk prompts lower forecasts

Aluminium prices have retreated from their recent highs despite renewed tensions in the Middle East. While geopolitical risks remain elevated, recent operational updates and improving supply expectations have prompted the market to reassess the likelihood of a prolonged disruption to aluminium supply



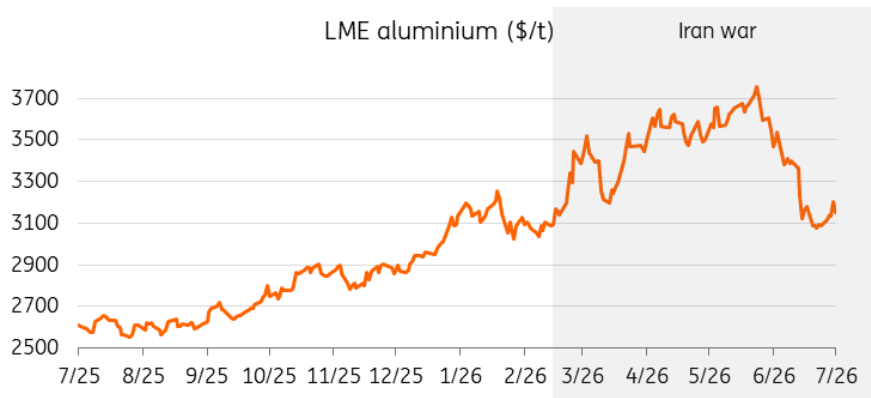
The most notable change since our previous forecast has been the improving outlook for Middle Eastern aluminium production

Supply risks are easing

This week's price action illustrates how market expectations have shifted. Renewed tensions in the Middle East initially supported aluminium prices. However, prices moved lower after Emirates Global Aluminium (EGA) announced further progress in restoring operations at its Al Taweelah complex, reinforcing expectations that supply disruptions are likely to prove less severe than previously feared.

This shift in market expectations is reflected in our revised supply assumptions.

Middle East rally unwinds



Source: LME, ING Research

Middle East recovery gathers pace

The biggest change since [our previous forecast](#) has been the improving outlook for Middle Eastern aluminium production.

Recent operational updates from EGA have consistently pointed to a faster-than-expected recovery. The company has already restarted aluminium production at its Al Taweelah smelter, with around 7% of pots back online, and has since indicated that it is accelerating the restart process.

In its latest update, EGA said alumina production at the Al Taweelah refinery is expected to reach 50% of capacity within days and return to full production by the end of the year. Importantly, EGA has also indicated that the restart of aluminium production at the adjacent smelter does not depend on the refinery reaching full output, suggesting the recovery in aluminium production could proceed more smoothly than previously assumed.

We also now expect a gradual improvement in operating rates at Alba and Qatalum through the second half of the year as regional conditions continue to stabilise.

Together, these changes add around 0.3Mt of aluminium production during the second half of 2026 relative to our previous assumptions.

China boosts exports

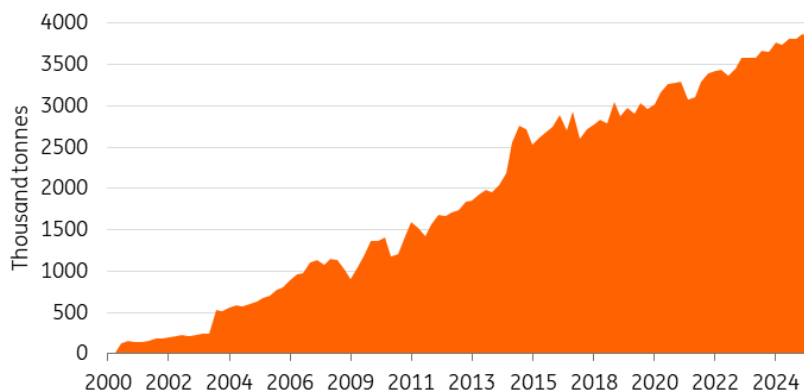
China has also played a role in easing supply concerns. Chinese aluminium exports surged in May, climbing 16% year-on-year to 630kt (China Customs), improving physical availability outside China and helping alleviate some of the tightness in overseas markets.

At the same time, Chinese primary aluminium production continued to rise, with May output reaching a record 3.89 Mt (NBS), taking annualised production slightly above the country's

45Mt capacity cap. This suggests smelters are already operating at exceptionally high utilisation rates and have limited scope to increase output materially from current levels.

While stronger exports have improved metal availability and helped ease physical tightness, China's ability to deliver further supply growth appears increasingly constrained. As a result, we do not expect China to be able to fully offset supply disruptions elsewhere, leaving the global aluminium market in deficit.

Chinese aluminium output continues to rise



Source: NBS, ING Research

Market balance revised

Reflecting both the improved Middle East supply outlook and higher Chinese production, we're now revising our 2026 aluminium market deficit to around 1.2Mt, compared with 1.8Mt previously.

The revision reflects approximately 0.3Mt of additional Middle Eastern production during 2H26 relative to our previous assumptions, together with a higher Chinese production forecast.

While the market remains in deficit this year, improving supply conditions suggest a further loosening in 2027. As Middle Eastern production continues to recover and additional capacity returns to the market, we now expect the aluminium market to move into a modest surplus in 2027.

Forecasts revised lower

The improved supply outlook has prompted us to revise our aluminium price forecasts lower.

Revised ING forecasts

Forecast (avg)	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
LME Aluminium (\$/t)	3,200	3,100	3,000	2,900	2,850	2,800

Source: ING Research

Although geopolitical risks remain elevated, recent operational developments suggest aluminium production is recovering more quickly than previously expected. Our revised forecasts assume this operational recovery continues. Any renewed disruption to Middle Eastern smelting operations or regional logistics would represent an upside risk to both our balance and price forecasts.

What has changed?

Our previous forecasts were built around the risk of a prolonged disruption to Middle Eastern aluminium production. Recent operational updates suggest that outcome is becoming less likely.

As a result, we have revised our 2026 market deficit to 1.2Mt and lowered our price forecasts. We now expect the market to remain in deficit this year before moving to a modest surplus in 2027 as Middle Eastern production recovers and additional capacity returns.

Still, we continue to expect aluminium prices to remain well-supported by historical standards, even if the extreme upside scenario we considered earlier this year has become less likely.

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